

Nexa Cloud Solutions Inc. (Meridex: NXCL)

Scaling the Next-Gen Enterprise AI Fabric

Initiating coverage with BUY rating and \$245 Target Price driven by multi-year cloud migration tailwinds, proprietary AI orchestration margins, and expanding net expansion rate.

INVESTMENT RATING

BUY

Target Price: \$245.00
Current Price: \$182.50
Implied Upside: +34.2%
Risk Profile: Moderate / Core

52-Wk High / Low: \$195.40 / \$124.10
Market Cap (\$B): \$42.85
Enterprise Value (\$B): \$40.12
Shares Outstanding (M): 234.8
Free Float (%): 88.4%
30D Avg Vol (M): 4.15
Dividend Yield (%): 0.0%
Net Debt / EBITDA: -1.2x (Net Cash)
Beta (3Y Monthly): 1.18
Fiscal Year End: December 31

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Executive Summary & Investment Thesis

Nexa Cloud Solutions Inc. (NXCL) has established itself as the leading hybrid enterprise AI orchestration fabric. As Fortune 500 organizations transition from experimental LLM deployments to production-grade distributed architectures, Nexa's proprietary *NexaSphere OS* provides critical multi-cloud governance, automated telemetry, and sub-millisecond inference routing.

Key Drivers for Outperformance:

- High-Margin ARR Acceleration:** Subscription Annual Recurring Revenue (ARR) grew 38.4% YoY in Q1 2026 to \$1.42B, driven by 132% Net Retention Rate (NRR) among enterprise accounts (>\$1M ARR).
- Expanding Operating Leverage:** Gross margins reached 78.2% (+240 bps YoY), reflecting structural efficiencies in custom silicon cluster integration and declining compute unit costs.
- Defensible Moat in Data Privacy:** Nexa's zero-trust data plane prevents proprietary data leakage across public hyperscaler models, creating a high-switching-cost lock-in for banking and healthcare clients.

Valuation Summary & Target Price Derivation

Our **\$245 Target Price** is derived using a 50/50 blend of a 10-year Discounted Cash Flow (DCF) model and a Sum-of-the-Parts (SOTP) multiple approach:

- DCF Model (\$252 Value):** Assumes a 5-year revenue CAGR of 24.5%, terminal FCF margin of 28.0%, WACC of 9.2%, and a 3.5% perpetual growth rate.
- SOTP Multiple (\$238 Value):** Applies a 14.5x EV/CY27E Sales multiple to the core Cloud SaaS segment and a 22.0x EV/EBITDA multiple to the high-growth AI Services unit.

Financial Summary & Forecast Highlights (FY2023A – FY2027E)

Financial Metric (\$M, except EPS)	FY2023A	FY2024A	FY2025E	FY2026E	FY2027E
Total Revenue	\$845.2	\$1,140.6	\$1,520.4	\$1,985.0	\$2,510.0
YoY Revenue Growth (%)	42.1%	34.9%	33.3%	30.6%	26.4%
Gross Profit	\$625.4	\$864.5	\$1,185.9	\$1,568.2	\$2,008.0
Gross Margin (%)	74.0%	75.8%	78.0%	79.0%	80.0%
EBITDA (Non-GAAP)	\$126.8	\$205.3	\$334.5	\$496.3	\$677.7
EBITDA Margin (%)	15.0%	18.0%	22.0%	25.0%	27.0%
Diluted EPS (\$)	\$0.42	\$0.78	\$1.35	\$2.10	\$2.95
Free Cash Flow (\$M)	\$112.5	\$188.2	\$312.0	\$475.0	\$652.6
EV / Revenue (x)	47.5x	35.2x	26.4x	20.2x	16.0x
EV / EBITDA (x)	316.4x	195.4x	119.9x	80.8x	59.2x
P / E Ratio (x)	434.5x	234.0x	135.2x	86.9x	61.9x